

Institute of Actuaries of India

Subject SA4: Pension and Other Employee Benefits

September 2017 Examination

INDICATIVE SOLUTION

Introduction

The indicative solution has been written by the paper setters with the aim of helping markers of scripts so as to have a framework and be consistent while evaluating answers. The solutions given are only indicative. It is realized that there could be other points as valid answers and the marker may give credit for any such alternative approach or interpretation which the marker considers to be appropriate.

Solution 1:**i)**

Superannuation Plans are generally provided by employers for their employees and in India they are most commonly defined contribution in nature.

However, Ministry of Finance and Income tax rules/guidelines for Superannuation trust also include Pension Trusts.

Superannuation plans are typically funded and set up under an irrevocable tax recognised Trust with approval under Part B of IV Schedule of the Income Tax Act.

Design of a Superannuation plan is as per the Company and trust Rules
This includes setting out eligibility criteria; contribution rates; vesting criteria; benefit eligibility on retirement/illness/leaving service/death.

Most typically contribution is at 15% of Basic Salary from the employer

Employee contributions can be in the design but very rarely seen in India

Employer contributions of up to 15% of Basic (subject to Rs. 1.5Lakhs per year) contribution are not taxable in hands of the employee

Some superannuation plans in 1990s-2000s were created due to conversions of defined benefit plans to defined contribution plans or vice versa. Some still have grandfathered DB benefits operating.

Trustees decide the investments of the Trust.

Investments can be self managed as per the pattern provided by the Ministry of Finance Guidelines or funds can be invested with an insurance company providing superannuation products.

Ministry of Finance Guidelines for self managed funds require a large proportion of investments in Central Government Bonds and other such State/Government/Corporate bonds Fixed interest but do also have a provision of minimum 5% and maximum of 15% of fresh investments in equity. Up to 5% is also allowed in real estate asset backed investments.

Insurance companies offer traditional products and unit-linked products regulated by IRDAI

Trustees may approach to an insurance company to invest in a number of their fund offerings and also give some employee choice to select investments.

Except in unit linked plans, where returns would be market related; investment returns are determined by the Insurers based on the net revenue account of the plan. In this type of approach member's capital plus accumulated interest would be protected.

Benefits will be paid to a member through securing an annuity. The form of that annuity (single life/ROC/join life etc..) can be an option to the member.

Tax rules allow up to one-third of the accumulated DC balance to be paid in lump sum at the time of retirement. (one-half if no gratuity payable)

Regulations in 2010 from IRDAI mean that the insurance company providing the accumulation benefits will also be the one to provide the annuity.

Very rarely does a superannuation plan pay retirees from the fund as for that specific approval from Central Government is required.

However, many funds have leavers from the company that retain their balances in the plan. Trustees will also have surplus/forfeiture balances as a result of employees leaving the company without fulfilling the vesting criteria for benefit payment.

(6)

ii).

Governance	: NPS governed by PFRDA Superannuation plans set up under the Indian Trust Act governed by Income Tax Act/Rules
Administration	: Superannuation administered by company set up Trust NPS administered by plug and play architecture - Central Record Keeping agency administers records and subscriber transactions
Contributions	: NPS Employer contributions of up to 10% of Basic Salary (no limit) not considered as income for an employee. Employees can contribute on their own to NPS as per tax rules under individual allowances as part of (IT Act Sec80c 1.5lakhs limit plus a separate additional Rs50,000 for NPS) Superannuation: Employer contributions of up to 15% of Basic (subject to Rs. 1.5Lakhs per year) contribution are not taxable in hands of the employee Employer contributions to defined benefit plan is unclear if to be measured against the similar limit as DC plans. Tax limits on contributions are additive for NPS and superannuation. One can benefit from both.
Accumulation	: Both provide tax free accumulation of balances

NPS accumulation is market related investments

Superannuation: Except in unit linked plans, where returns would be market related; investment returns are determined by the Trustees based on the net revenue account of the plan. In this type of approach member's capital plus accumulated interest is protected.

Benefits on withdrawal : Superannuation benefits will be per scheme rules. Paid in annuity form and tax allowance for one-third in lump sum

NPS: Benefit available on exit of NPS anytime. However if before age 60 then up to 20% allowable in lump sum. If at age 60 then up to 60% can be taken lump sum. 40% of lump sum is tax free. Remainder to be annuitized - but for some features of deferral allowed from age 60 to commence annuity / lump sum.

Both NPS and Superannuation Benefits will be paid to a member through securing an annuity. The form of that annuity (single life/ROC/join life etc..) can be an option to the member.

Investments : NPS: Choice of investments profile Schemes created by Regulator. G-Government Bonds / C-Fixed Interest / E-Equity / A-Alternative assets. Company can choose the investment pattern for employees or leave decision to employees' personal preference.
NPS also has a default Auto lifestyle choice option that invests in a prescribed pattern as per age of the member.
Member or company must choose out of empanelled fund manger to invest with.
In superannuation, Trustees decide the investments of the Trust. They choose between self managing the funds or insurance company superannuation products.

(5)

iii).

Stakeholder	Key Responsibility	Notes
Employer/Plan Sponsor	· Execution of the Trust documents.	· Usually a representative of the company whose employees are members of the Trust
	Communication with employees/members	
	· Funding of contribution.	

Stakeholder	Key Responsibility	Notes
	· Bears expense of administering the Trust such as administrator and audit fee.	
	· Decision making in benefits design and changing the Trust Deed & Rules.	
Trustees	· Responsible for the functioning of the Trust.	· Board of Trustees of the Trust are usually to be employees or officers of the company.
	· Represent the interests of the beneficiaries hence ensuring correct particulars of the members given including their fund balances	· Commonly prevalent practice is that Trustees are middle to senior management of the employer.
	· Execute the Trust Deed and Rules.	
	· Responsible for compliances.	
	· Responsible to invest the monies of the Trust hence liquidation of necessary investments.	
	· Responsible to pay benefits in line with the Rules of the Trust.	
	· Decision makers in matters of Trust.	
Employees/ members/ Beneficiaries	They are the beneficiaries and may need to send their consent for the transfer	
Trustee support units	· Help Trustees in decision making by providing support in functions like accounting, investments, benefits delivery, taxation, employee services, vendor management and compliances.	· Trustee support units are generally informal groups of cross functional teams in employers that work together to help administer the Trust. · These are usually drawn from payroll, finance, HR, Legal and tax teams of companies.
Insurers	· Invest the funds of the Trust as per the policy conditions. In case of Unit-linked plan as per mandates of the Trustees.	

Stakeholder	Key Responsibility	Notes
	· Provide annuities to beneficiaries.	
Third Party Administrators	· Provide administrative help in running the plans.	· The existence of this role is very employer specific. · Most employers use administrators in either a full roles (covering end-to-end activities) or in a limited role (certain aspects of running the plan are outsourced)
	· Work as outsourcing partners to the employer and Trustees and carry out various activities such as benefits administration, accounting, employee query management.	
Actuaries, Advisors and Auditors	· Provide various kinds of advisory support in matters such as compliance, investments, liability valuation.	· This role too is very employer specific.
	· Support decision making process of Trustees.	
Income Tax Department	· Provide tax recognition to the Trust where the criteria is met.	
	· Provide approvals where changes to the Rules are sought.	
	· Overall oversight to the functioning of the Trust from a taxation perspective.	
PFRDA	They need to approve the transfer from Superannuation trust to NPS	
Central Record Keeping Agency	Need to create & maintain record of members/beneficiaries as given by the trustees	
Point of Presence (POP)	Creation of Account ID for company and the PRAN for individual members	
Pension Fund managers (PFMs)	Investment of members' funds as desired by them	

(9)

iv).

A Superannuation Trust may not simply port its balances to NPS without some restructuring of certain elements or features. This restructuring can be done through effecting changes to the Trust Deed and Rules.

These amendments are applicable only when the Income Tax office approves the changes as per Income Tax Rule 96.

- 1) Stoppage of contributions and cease new member admission
- 2) Transfer of funds (to be decided at Trustee level and/or at employee level)
- 3) Transfer out clause to the NPS (in-service, bulk and individual accounts on exit)
- 4) Utilization of balances in Lapses & Forfeiture accounts and in Surplus accounts
- 5) Pay back of balances of members (where such is the member preference) in cash, subject to income tax and in the case of winding up of the Trust
- 6) Treatment of dormant accounts after a reasonable amount of time and confirmed efforts by Trustees to locate beneficiaries to be able to treat these as a surplus/forfeiture account.
- 7) Change in benefits clause (Defined benefit to defined contribution, wherever required)
- 8) Future level of contribution for different classes of members in case of change from DB to DC

The process of approvals at the Income Tax Office involves multiple steps and can be time consuming.

The transfer of an account balance from a superannuation fund to the account in the NPS may be treated as a transfer between two pension plans. Therefore, the Income Tax Rules may be amended to provide for this aspect and the changes to these factors to be applicable through resolution of the Board of Trustees. All Trustees should be signatories with consent from the employer.

An initial template set of language covering the points mentioned, for Trustees to customise to make their Trust Deed changes.

The inability to port dormant accounts or balances to the NPS will mean that Trustees may have to continue running Trusts only for such accounts. This may also be a dissuasive factor to some types of employers and Trustees from porting to the NPS.

Initiate administration in NPS that will permit the acceptance of dormant accounts of superannuation trusts as a separate category in the NPS Trust with last known records/details of employee transferred from the superannuation trust.

(7)

v).

Trustees will need to manage liquidity appropriately

The investment issues will also depend on whether the transfer to NPS from superannuation is done in bulk or on a case by case basis.

It will also depend on the investments being insurer managed or self managed.

If self managed - then gains/losses on market price of assets compared to the accumulated member balances need to be calculated. Any shortfall would need to be met by the employer. Any excess may or may not be allocated to the respective members.

Regulations may need to allow additional contributions to be made by the Employer in such circumstances that are tax deductible expense and not also counted against employee income.

In specific transfers from the self managed Trusts to NPS fund managers could be considered.

However, the investment pattern guidelines are different and NPS fund managers may not be able to take on all the assets.

They may also have different investment philosophies that Trustees' investments may not adhere to.

There would need to be unbiased valuation guidelines so consistent asset values are provided across the fund managers. This would not be easy
If the transfer is done on a case by case basis - the forecasting and timing of anticipated requests and implementation needs to be factored in.

If insurer managed - Trustees will need to consider the terms of the policy.

Will timing and amount of anticipated liquidations trigger surrender clause.

There could be reluctance from insurance companies to entertain bulk requests as this would mean loss of business for them.

Additional market value adjustments/penalties may be imposed on such transfers.

This may be a disincentive for companies / Trustees to embark on the exercise.
IRDAI would need to be consulted on any regulations/ guidelines being provided to insurance companies in the matter.

(5)

vi).

Companies will ideally like to do this exercise in bulk. However, a challenge is that each member need to have an NPS account - and for that they need to enrol/provide KYC etc. which means you need the consent of each individual.

This can be a big administrative and communication exercise for the company and trustees particularly for large schemes involving hundreds of members.

Current tax treatment of contributions and benefits are different between Superannuation and NPS. This creates an added layer of complexity to explain to members. Many may therefore not switch.

In case of DB schemes, the members may not agree to switch as their benefit under NPS (which is necessarily a DC scheme) may be uncertain and may even reduce in some cases.

The government may allow additional tax benefit or identical tax treatment for transfers from Superannuation Trusts to NPS. For example, under Superannuation the employer may contribute up to 15% of salary (subject to a max of Rs. 1.5 lakh) whereas under NPS employer can contribute up to 10% of salary without a limit. Switching may therefore be beneficial for some whereas for others it may not. The government may need to make necessary changes. Trustees may not want to take a decision for a bulk exercise in case they may be held liable by any member - given the NPS and Superannuation schemes are different.

Trustees may still end up members in the plan and have to run it off over many years. A further disincentive to embark on the exercise.

One may consider a facility in regulations to allow automatic portability of superannuation in a merger and acquisition scenario where a buyer does not want to set up a Superannuation scheme.

NPS could consider setting up a special Superannuation administration cell to take on and administer the "run off" of plans.

This may however be a considerable task and building up of infrastructure.

Under the current approach to changing Trust deeds and obtaining approval from CIT - the process could take very long. It would be worth consideration for CBDT to provide universal approval if Trusts adopt the changes and simply document them and file with CIT - rather than wait for approval. CBDT may come out with some standard procedure and a standard deed of variation/ change in Rules

This can include automatic wind up of the Trust Deed on last funds being paid out of the fund.

Trustees will need to decide (and obtain approval) on treatment of the surplus account - distribute to members or apply to have it returned back to the company (with applicable taxes) when the plan winds up.

Whilst the process of updating the Superannuation trust is conducted - a parallel exercise needs to be conducted for the Company to facilitate employees to open NPS accounts under the corporate model.

The company will need to decide if they will offer corporate NPS as an ongoing offering in addition to making changes to Superannuation trust for the portability - or will they just facilitate employee initiated transfers where an employee has their own NPS account and wants to transfer the balance during service or when leaving the company.

(5)

vii). a.

Method	Pros	Cons
Accrued Benefit	Easy to calculate and understand for members	Does not reflect the value of the benefit in terms of nature/term
	Only suitable if DB plan is a lump sum plan and not pension	Can be significantly different from the company's balance sheet provisions and funding status of the Trust.
	No actuarial judgement and assumptions needed	Will not reflect long term nature of the benefit payments if it is a pension plan
Actuarial value - Immediate Buyout value	Reflects an appropriate value for pension plans	An objective buyout product may not exist in the market
	Represents a solvency basis valuation	Not appropriate for lump sum plans as no buyout concept applies for such plans
	Objective measure if based on market buyout value	Exact features of the DB plans (such as pension increases / survivors pension / commutation restoration) may not be available in the market. A proxy value may need to be used.

Method	Pros	Cons
Actuarial value - accounting valuation	Reflects an appropriate value for DB plans taking into account term/nature	Does not allow for reflection of surplus/deficit of the plan
	Closer to company provisions and therefore reduced risk of company P&L impact	Most difficult to explain to members - especially justification of assumptions
	Accounting assumptions to be best estimate on a holistic basis	
	Discount rate is generally market related so will be more appropriate for using the value for a cash value payment	
	Reflects deferred nature of benefit for active members	
Actuarial value - funding valuation basis	Reflects an appropriate value for DB plans taking into account term/nature	Does not allow for reflection of surplus/deficit of the plan
	Will be closer to the longer term funding strategy of the Trust and so funding level neutral	Most difficult to explain to members - especially justification of assumptions
		Will commonly not have market related assumptions and also have some element of prudence in there that the company may not want to transfer over to members
Share of fund basis	Easy to understand to members	Deciding and communicating the underlying weights used to determine the share of fund is difficult.
	Allows for reflection of surplus/deficit of the plan	

(7)

b.

Need to decide if different approaches to be taken for different type of DB plans (i.e. lump sum versus pension plans)

Whether to use an actuarial method and if so, then which one (project unit / current unit / solvency)?

Regulator will need to aim for comparability and fairness to members of all DB plans. Ensuring consistency in approach to justify to public will be critical

The biggest area will be guidance for assumptions:

- Salary growth (to be allowed for or not) / what justifications needed from companies as to what rate is used
- Discount rate: the DR should be objectively chosen and market related. This may be achieved by using the accounting IndAS19 or AS15 approach.

However, the transfer value will be used to invest into NPS that may have very different returns. There may be a case to use a discount rate that may reflect the potential returns members may earn in NPS. This would however be subject to much scrutiny and volatility and complexity.

- Attrition rate- what justifications needed from companies as to what rate is used. Different companies and industries will have different rates. This is one assumption that regulations may want to consider industry sector wise guidelines to use by all. May be ignored as it needs to be applied for an individual

Other assumptions like mortality can be prescribed. May also be ignored

Objective annuity rate table can be prescribed using annuity market averages.

Regulator will need to agree a frequency when it will review appropriateness of assumption guidelines e.g. 2 years with additional trigger points in case of macro/economic conditions change outside a specified threshold in between.

Where an existing DB scheme has to transfer its funds to NPS which is a DC scheme, trustees would need to get monetary amount worked out for each member for his accrued pension benefit.

- This may need to employ services of an independent actuary
- The bases and method needs to be decided
- Future level of contributions need to be fixed for different classes of members
- It may need approval of the employer
- May need additional contribution from the employer if the scheme is

- under funded
- May have issues if overfunded

(6)
[50 Marks]

Solution 2 :

i) (a)

The Roadmap provides a phase-wise approach

It is based on a company's net worth and whether or not it is listed

Effective date of implementation is as under:

The companies can adopt Ind AS 19 voluntarily from 2015-16

2016-17(comparatives for 2015-16)	Listed (Net worth 500 crore or more)	Unlisted(Net worth 500 crore or more)
2017-18(comparatives for 2016-17)	Listed (Net worth less than 500 crore)	Unlisted(Net worth 250 crore or more but less than 500 crore)

For Insurance Companies, Banks and NBFCs, separate schedule would be provided in consultation with the respective Regulators.

(2)

(b) Other comprehensive Income (OCI): OCI is those revenues, expenses, gains and losses that are not recognised in P&L as required or permitted by other Ind Ass. OCI balance is presented in the "Other Equity" section of the Balance Sheet separately from retained earnings.

It comprises a) Actuarial gains & losses, b) return of plan assets excluding the amount included in the net interest cost, c) any change in the effect of asset ceiling and d) remeasurements etc.

(c) Pension cost to be recognised in Profit & loss income: comprises a) current service cost b) past service cost c) gain or loss on settlement and d) net interest cost on the defined benefit liability

(1)

(d) Discount rate: used to value the retirement benefits (both funded & unfunded) shall be determined by reference to the market yield at the end of the reporting period on government bonds.

However subsidiaries, associates, joint ventures domiciled outside India shall discount the benefits with reference to the local high quality corporate bonds if such country has a deep market in Corporate Bonds. If such country doesn't have deep market in

corporate bonds, then discount rate shall be chosen with reference to the local government bonds.

The currency and term of the government bonds or Corporate bonds shall be consistent with the currency and estimated term of the post-employment benefit obligations.

It represents the time value of the money; it does not reflect the actuarial or investment risk. (2)

(e) Disclosure requirements: The Ind AS 19 has enhanced disclosure requirements as under:

- Explain the characteristics of its defined benefit plans & the risks associated with them
- Identifies & explains the amount recognised in its financial statements
- Describes how its defined benefit plans may affect the amount, timing & uncertainty of the Company's future cash flows
 - Future benefit payment stream
 - The sensitivity of DBO with respect to discount rate, salary escalation, withdrawal rate, mortality rate etc.
- Breakdown of actuarial gains & losses in to financial, demographic assumptions and on account of experience different from assumed
- The distribution of Fund in to different asset classes in case of a funded scheme (2)

ii) In general:

Pension cost for the purpose of accounting is measured on accrual basis; the approach is generally prescribed by the accounting standards (e.g. PU method)

The principle remains the same irrespective of the scheme is funded or unfunded

The funding approach (or non-funding) has no direct effect on the pension cost

But the funding approach reflects the pace at which the company would like to build the fund over the future period to provide the benefits as and when they fall due.

In particular for this scheme:

The company has not increased the annual contribution since the inception of the scheme.

While deciding the funding strategy the company might have taken into account the following factors:

Benefits provided: Retirement benefits viz lump sum & the pension benefits are expressed as final salary – they accrue on real basis over the active service of the employees.

By expressing the annual contributions as % of salary the company aims to match the funding plan with the “real” progression of the benefits.

Company offers generous death benefits - However by insuring the death benefits on yearly basis, the company ensures that the funding plans are not altered by the volatile death experience.

The benefits available on resignation are lower than the benefits available on retirement. Hence this decrement will be having a positive impact on the funding level. The company may be aiming to pay lower benefits to less loyal employees and thus to benefit from the release of funds following the exit of members. Company might have assumed higher attrition rate.

The annual contribution of 10% AWB, determined at the time of benefits design would have been based on certain assumptions on the economic outlook especially for the NBFC sector, the investment strategy to be adopted by the company/Trustees, the salary increases in the sector and the demographic factors such as the attrition, mortality etc.

The company might have expected the actual experience will be in line with the assumptions made to keep the funding level sufficient to cover the benefits.

For example the company might have assumed higher investment return to be obtained by adopting aggressive investment strategy;

Company might be expecting higher growth in the company and might have planned to recruit employees at younger ages. This would have kept the profile of the group younger & term of the benefits sufficiently longer to keep the contribution level consistent.

As there is an opportunity cost to the company while setting aside funds for funding the retirement benefits; the company might have aimed to keep the contribution level low

When the funding strategy was adopted, the company might be under the impression that the level of contribution will be the cost of the scheme to the company. By keeping the contributions at 10% every year, the company might be achieving desired level of profitability and stability in its annual outflow.

As there is no statutory compulsion to fund the lump sum and pension benefits, the company might have fixed annual contribution rate as 10% to fund the benefits in spite

of higher contribution rate disclosed by an actuary.

The company may be having other statutory obligations to fund other retirement benefits (eg contributions to EPF) and hence the company by keeping the contributions at a lower level, aims to budget the overall annual outgo.

Tax considerations, profitability, cash flow constraints might be some of the other factors that might have been considered by the company in keeping the contributions at this level.

(9)

iii) The pension cost measured under AS 15® comprises mainly the following items:

- current service cost
- interest cost
- Expected return on plan assets (negative item)
- Actuarial gains/ loss (on assets)
- Actuarial gains/losses(on benefits)

The current service cost for the scheme is 21.67% of AWB [= (1000*2.4*21%+300*5*23%+75*8*21%)/(1000*2.4+300*5+75*8)]. The cost is recognised immediately in the year of accrual. Therefore the current service cost is not directly impacted by the funding plan.

But the difference between the accruing cost (21.67%) and the annual contribution (10%) shows the accruing funding deficiency of the scheme.

There will be no impact on the “interest cost” as it represents the unwinding of the discount rate by one year (at the rate of 7.75%)

The expected return on plan assets is an item neutralising the interest cost. If the scheme is fully funded and expected return is equal to the discount rate, then the interest cost and expected return on plan assets will be equal and thus together will be zero.

The Present value of benefit obligations as on 31.03.2017 is Rs. 54.49 crore. But the fund is having an asset of Rs.24 crore only. Thus there is a deficit in the scheme to the extent of Rs. 30.49 crore.

The deficit will impact as the component “the expected return on plan assets” will not be able to offset the interest cost to the extent of (30.49 * 9%) Rs. 2.74 crore. Therefore the pension cost will be higher by this amount as compared with a scenario that the plan was 100% funded on an AS 15 (R) basis during the year.

The actual investment performance of the assets is lower than the assumed investment return by 50 bpts (9% -8.5%). Due to this the pension cost is experiencing an actuarial

loss of Rs. 0.12 crore ($=24 \times 0.005$) on the asset side due to the adverse experience.

If the scheme was fully funded and the assets had been kept at Rs. 54.49 crore, the actuarial losses due to adverse investment performance would have been higher i.e. Rs. 0.27 crore ($=54.49 \times 0.005$) and the pension cost would have increased by Rs. 0.15 Crore ($=0.27 - 0.12$) on this count. However, it would have reduced the cost under the head "expected return on plan assets"

We assume that there are no changes in the benefits as well as no settlement/curtailment during the year– hence the impact of past service cost, settlement/curtailment cost are ignored.

We have no information to analyse the impact of actuarial gain/loss due to change in financial and demographic assumptions as also due to the experience resulting from the changes in the demographic profile of members different from what was expected.

(8)

iv) By shifting the funding strategy to be in line with the accounting of pension cost, the company might be aiming to ensure that the pension cost is not unduly distorted due to the inadequate funding.

As the pension cost for accounting purposes for a period is worked out as per the Accounting Standard applicable for that period, the funding approach needs to use the methodology similar to that prescribed in the Accounting Standard.

AS 15 (R) prescribes PU method and hence funding approach will also be as per PU method.

The move aims to build adequate funding of benefits which may provide better security of benefits to the employees depending upon the quality of assets.

But this may increase the contribution requirements for the company.

The current service cost of 21.67% (measured using PU method) for the year 2017-18 is higher than the present level of contributions (10%).

Assuming the company uses the same assumptions for funding the benefits, the annual contribution for the year 2017 -18 will increase by about 11.67% of PWB.

The contribution rate for the future period will depend on how the age/ salary profile of the members changes over the period. For example, if the average age increases the annual contribution rate (as measured using PU method) will also increase.

The company needs to be prepared for the higher level of annual contributions into the fund which will increase the expense cash flow of the company.

The company also needs to address the issue of funding the past service deficit. If the company chooses to fund the past service deficiency (of Rs.30.49 crore), in the year 2017-8, it needs additional cash injections into the fund in this year itself.

The one time additional cash injections into the fund will immediately increase the assets of the fund. The expected return on plan assets will also increase by $30.49 \times 0.09 = \text{Rs.}2.74$ crore.

The pension cost for the year 2017-18 will reduce by this amount due to the additional cash injections.

Assuming that the actual investment performance continues to be lower than the assumed investment return, the actuarial losses due to lower investment performance on the additional fund will increase the pension cost.

If the company chooses to fund the deficit over the next 5 or 10 years or the future period of service, the contribution requirements will be smoothed over this period; the impact on the pension cost will also be spread over the chosen period.

While deciding on the contribution in respect of the deficit for past service benefits, Company may need to consider its taxation position and its decision for contributing towards deficit may be influenced on tax considerations besides available cash flows (0.5)

The impact will also depend upon how the investment strategy of the fund changes following the decision to change the funding method to PU;

If the company chooses to invest in assets that deliver superior investment returns, the actuarial gains on the asset side will arise over the future period which will reduce the future pension cost.

The pension cost will vary if there are changes in the parameters like discount rate, expected return on plan assets following the changes in the funding strategy.

(8)

v) The important changes in the accounting of pension cost in Ind AS 19 are:

- i)** Computing the net interest cost on the value of the accrued benefits (net defined benefit liability)
- ii)** Recognising the actuarial gains or losses through other comprehensive income, outside the profit & loss account.

While computing the net interest cost in Ind AS 19, both benefit obligations & fair value of plan assets are multiplied by the discount rate. But while computing the figures for AS 15(R), the interest cost is measured taking the discount rate and the expected return is used on plan assets.

Since the discount rate is taken by reference to G Sec yields of appropriate term and the expected return on Plan assets considers a combination of G Sec & Corporate Bonds, the discount rate is generally lower than the expected return on Plan Assets.

In such a case the net interest cost measured for Ind AS 19 will be higher than the corresponding figures of the AS 15 (R).

The excess of actual investment return over the discount rate on the plan assets will also be recognised through OCI under Ind AS 19.

Due to this, the pension cost for accounting purposes may go up in the year 2019-20 while adopting Ind AS 19 assuming other actuarial gains/losses to be either nil or negative. However if they are significantly positive, then pension cost in the year 2019-20 for accounting purpose may reduce after adoption of Ind AS 19.

Further in the long run the actuarial gains/losses are expected to neutralise which means that volatilities in pension cost arising due to mismatch of assets & benefits and other reasons are removed. This will provide more stability to the pension cost in the long run.

(5)

vi) The company provides defined benefits plans. The main risk to the company is that the actual cost of the same is unknown and the recognition and measurement in the accounting disclosures are estimates. Further, contributions do not reflect the cost of benefits either, as contribution levels can be determined by the Trustees/Company after considering various factors

The (potential) investors and other stake holders of the company will be interested in knowing the risk & uncertainties associated with the employee benefits and their materiality to the financials of the company.

The main factors contributing to the uncertainty in the pension cost are

- Movement of bond yields
- Investment performance of the assets
- Increasing cost of buying annuities
- Membership profile like Distribution of Age, salary levels, & their demographic experience such as Attrition, mortality etc.
- Changes in the legislation/taxation of retirement funds.

Bond Yield: the discount rates used to measure the pension cost are set with reference to the bond yield of appropriate term. A declining trend in yield is expected to increase the value of the benefit obligations.

It is therefore important to illustrate the impact on the pension cost in the disclosures. For example, the increase in the pension cost due to the decline in the bond yield by 25 or 50 basis points can be disclosed.

Salary increases: If the actual salary increases are higher than the salary escalation assumed, the pension cost will increase and there will also be actuarial losses.

The impact of salary increases on pension cost (i.e. sensitivity) can be illustrated by assuming 1% higher/lower salary escalation rate

Investment management: The Company should have an “investment management policy” on managing the assets relating to the benefits and the policy should be made available to the interested parties. The policy should clearly state whether the funds are managed internally or kept external. It should also specify the classes of assets in which the Plan assets are invested.

If there are any self investments, the details of such investments must be disclosed.

The impact on the performance of the various assets on the Net Balance Sheet/Funded status/OCI can be illustrated.

For example, fall in equity values by x%, decline in credit rating on corporate bonds by y% on Net Balance Sheet/Funded Status/OCI can be illustrated.

While choosing the scenario, several combinations of asset classes can be chosen to illustrate the impact.

Such stress testing should take into account the risk tolerance level of the company.

If the company/Trustees are using external fund managers, the mandate given to the fund managers and the investment related expenses can be disclosed.

The company can disclose the risk mitigation measures, if any taken while managing the portfolio. For example use of derivatives in the annual report.

An ALM exercise can be initiated to investigate the flow of investment income to match the benefit flow and the results can be disclosed.

Increasing annuity cost: Due to the declining bond yield and increasing longevity, the cost buying annuity is becoming increasingly costlier. It is important to illustrate the impact of the factor on the pension cost.

An increase in annuity cost by x% over the future period can be projected and the impact on the pension cost can be illustrated.

Changing membership profile: The ultimate cost of the benefits depends upon the actual profile of the members as compared against the assumptions used in determining the pension cost. This includes the entry age, the age at exit, & cause of exit etc.

Any significant change in the profile arising due to mass recruitment, merger/sale of entities, redundancy etc will impact the benefit cost.

For example, the impact of closing the scheme to new entrants, on the pension cost can be illustrated.

If the company plans to initiate any mass redundancy (25% of existing force), the impact on the pension cost & the liquidity requirements can be illustrated.

In the normal course of events, a disclosure of the impact on defined benefit obligations from a change of x% in attrition rate can be illustrated

Impact of legislation/Taxation: The superannuation funds in India are enjoying some tax relief. The relief is given in the form of deductible business expenses on the contributions (subject to some limits) tax free investment income etc.

Any curtailment of the tax relief to these funds will increase the effective contribution requirements of the company.

An increase in the GST on the annuity purchased will also impact the pension cost.

The uncertainties associated with these external factors can be illustrated if they are material.

(11)
[50 Marks]
